

CASH FLOW MANAGEMENT TO PAY LIABILITIES

We know that EMLs are a part of regular expenses and therefore will be paid from income and expenses account. However, in the phase when we are aggressively paying off the liabilities, we will be paying off the liabilities from the financial plan account.

When we are paying off EMLs, we are paying it 'passively' in a systematic manner. These are small payments. However, when we are 'actively' paying it off, we won't be able to focus on investments during that period. We would be sacrificing on building more assets to repay this loan. These will be large payments and hence should go out from the financial plan account because paying off loans aggressively will have a significant impact on our financial plan. Paying off small EMLs will not impact our financial plan.

If EMLs are paid as regular expenses i.e passively, then pay from income & expense account

If EMLs are paid aggressively, then pay from financial plan account

